

Escrow Procedures and Management in Michigan

Trust Funds Require Special Handling

Trust funds are funds that belong to a client or customer that have been entrusted to a real estate licensee on behalf of that client or customer. An example is the earnest money check the buyer provides when making an offer. Because the mishandling of trust funds is a frequent cause of violations, proper handling of trust funds is clearly spelled out in Sections 339.2512 & 339.22313 of the Michigan Occupational Code.

Escrow Officers Are Limited, Neutral Agents

An escrow holder or escrow officer acts as a limited agent to the parties to a transaction. While they hold the instruments to the transaction (escrow funds and documents), they must remain **impartial** or neutral to both parties.

Trust Funds Must Be Deposited Promptly

The broker, a title company, or other third party handling escrow funds must deposit escrow money in a separate custodial trust or escrow account within two banking days of offer acceptance, or within another timeframe specified by the parties. If an offer is rejected, the agent/broker must promptly return the escrow funds, without depositing them. Salespersons must hand over deposits or other transaction-related money upon receipt so that the broker can ensure compliance with deposit requirements. Checks should never be made payable to the salesperson, but instead to the broker or escrow agent if someone other than the broker is serving in this capacity.

Deposits can only be made into a trust or escrow account that is a non-interest-bearing demand deposit account. This money can't be deposited into a broker's personal or business accounts. The principal broker is responsible for this account. The broker has signatory authority on this account. In some cases, the supervising broker may also be held responsible. It's important, therefore, to ensure this money is delivered to the appropriate broker in a timely manner.

Trust Funds Must Remain in the Account Until Disbursed

The balance of a client trust account must at all times be sufficient to account for the funds being held on behalf of those entrusting the funds to the firm. Brokers can maintain more than one trust account and are permitted to have up to \$2,000 of their own money in each account to meet minimum balance and to pay account fees. It's vital that brokers properly account for and maintain records of their personal money in these accounts.

Escrow Instructions Must Be Clear and Unambiguous

Escrow instructions should specify in writing how and under what conditions monies will be disbursed, especially if the transaction doesn't close. An escrow agent has no discretionary authority to make judgments on the meaning of an instruction, as such all instructions should contain unambiguous, and clear terms and provisions.

Disbursement Is Dictated by the Contractual Agreement

Brokers are only allowed to disburse escrow funds:

- **At the conclusion of the transaction, to settle the agreement between the parties.** If a transaction fails to close as scheduled, funds may continue to be held in escrow, provided there is no written demand from one party to cancel the contract. Funds are typically held after the closing date if a date to obtain the loan has passed but the parties still want to proceed with the transaction.
- **On agreement, in writing, from all principals to the transaction.** If the transaction is cancelled by either party, the agent holding the escrow monies shouldn't disburse any funds until all parties agree in writing how to disburse them. If a transaction is cancelled by the parties, real estate brokers and other third-party vendors may have first claim to escrow funds. That claim would depend on the procuring cause.

If There's a Dispute That Can't Be Resolved, the Courts Should Decide

If the parties can't agree on how to disburse funds, the escrow agent may file an **interpleader**, which names all of the parties that might have an interest in the funds and asks a civil court to decide how to disburse the money. Otherwise, an escrow agent may be obligated to keep funds indefinitely.

Proper Recordkeeping of Trust Accounts Is Required

Trust accounts are frequently audited. Brokers are responsible for maintaining records of their escrow accounts for at least three years following the conclusion of the transaction. Escrow accounts should never be overdrawn, and only claims and funds that are listed in the escrow instructions are allowed.

Accurate record keeping is essential when dealing with trust funds. Records must be kept in the brokerage office and, at a minimum, include the following:

- Chronological sequence of deposits and disbursements
- Current balance of account
- Deposit records must include:
 - Receipt and deposit dates
 - Name of party providing the funds
 - Seller's name
 - Amount
- Disbursement records must include:
 - Disbursement date
 - Payee
 - Check number
 - Reason for disbursement
 - Amount of disbursement

Records of receipts and disbursements must be tied to a single transaction between a buyer and seller and include the following information:

- Names of both parties
- Property address or legal description
- Dates and amounts received
- Dates and amounts disbursed, along with payee and check number

The department has the right to inspect any documents or records to ensure compliance with real estate laws. Licensees are expected to cooperate during normal business hours by allowing the department access to their place of business and to the records the department wishes to see.